

Cadillac Fairview Corporation v. Oakridge Landscape
Contractors et al.

[Indexed as: Cadillac Fairview Corp. v. Oakridge Landscape
Contractors]

101 O.R. (3d) 797

2010 ONSC 4535

Ontario Superior Court of Justice,
Ramsay J.
August 18, 2010

Insurance -- Insurer's obligation to defend -- Plaintiff suing occupier and occupier's snow removal contractor for damages arising from slip and fall on ice -- Occupier bringing application for declaration that contractor's insurer had duty to defend it and for summary judgment -- Application for summary judgment dismissed as it did not lend itself to determination of whether there was duty to defend -- Application for declaration granted -- Pleadings raising possibility that occupier could be found liable because of operation of snow removal service.

The plaintiff sued the occupier of a shopping mall and the occupier's snow removal contractor for damages arising from a slip and fall on ice. The occupier [page798] brought an application for a declaration that the contractor's insurer had a duty to defend it and for summary judgment.

Held, the application should be granted in part.

A motion for summary judgment does not lend itself to the

determination of whether there is a duty to defend. The motion for summary judgment was dismissed.

On the basis of the pleadings, the occupier could not reasonably be found to be liable for negligent maintenance of the pavement without the build-up of ice as a contributing cause of the plaintiff's loss. The pleadings raised the possibility that the occupier could be found to be liable because of the operations of the snow removal service. The duty to defend was triggered.

Cases referred to

Halifax Insurance Co. of Canada v. Innopex Ltd. (2004), 72 O.R. (3d) 522, [2004] O.J. No. 4178, 190 O.A.C. 356, 15 C.C.L.I. (4th) 159, [2004] I.L.R. I-4338, 134 A.C.W.S. (3d) 501 (C.A.)

APPLICATION for a declaration that the insurer had a duty to defend and for summary judgment.

Louise A. James, for applicant.

Vanessa A. Tanner, for respondent.

[1] RAMSAY J.: -- The applicant Cadillac Fairview is the occupier of a shopping mall. The respondent Oakridge Landscape Contractors is its snow removal contractor. The respondent Lombard Canada is Oakridge's insurer. Elizabeth Patrick has sued Cadillac Fairview and Oakridge Landscape Contractors for damages for loss occasioned when she slipped and fell on ice at the applicant's shopping mall. The applicant asks for a declaration that Lombard has a duty to defend it from this action.

[2] From the authoritative jurisprudence of the Supreme Court of Canada, which is reiterated and explained by the Court of

Appeal in Halifax Insurance Company of Canada v. Innopex Ltd. (2004), 72 O.R. (3d) 522, [2004] O.J. No. 4178 (C.A.), I take the following:

- (a) A duty to defend arises when an insurance policy provides for coverage against liability and a claim is made which, if proven, would subject the insured to liability.
- (b) The duty to defend is broader than the duty to indemnify. The duty to indemnify only arises if the claim is proven.
- (c) As a result, the duty to defend is determined as a preliminary matter, while the duty to indemnify is decided at the conclusion of the underlying litigation.
- (d) The duty to defend is determined by the insurance policy, the pleadings and any documents to which the pleadings refer and [page799] on which they rely. Any other evidence is inadmissible, apart from expert evidence which might be admissible to explain the technical meaning of the terms in the insurance policy.
- (e) It is not necessary to prove that the obligation to indemnify will in fact arise in order to trigger the duty to defend. The mere possibility that a claim falling within the policy may succeed will suffice. The duty to defend is confined to the defence of claims which may be argued to fall under the policy. The widest latitude should be given to the allegations in the pleadings in determining whether they raise a claim within the policy.
- (f) Since the duty to defend arises when the underlying complaint alleges any facts that might fall within the coverage of the policy, what really matters is not the labels used by the plaintiff, but the true nature of the claim.

[3] In the application before me, which is accompanied by a motion for summary judgment on the same question, the parties agree that I should receive the certificate of insurance and the pleadings in the underlying action. The respondent insurer says that I should receive nothing else. The applicant says that I should also refer to the contract between the occupier and the snow removal service, since it is relied on by the pleadings, and extrinsic evidence that is admissible on the motion for summary judgment.

[4] In the statement of claim, the plaintiff in the underlying action claims against the occupier and the snow removal service, and describes the snow removal service (correctly, everyone seems to agree) as the contractor of the occupier. So I think that the contract is admissible in this application.

[5] A motion for summary judgment does not lend itself to the determination of whether there is a duty to defend: Halifax Insurance, supra, at para. 39. Whether under the former rule or the new rule, the motion for summary judgment permits to some extent an assessment of the underlying evidence, which is beside the point of the exercise.

[6] The extrinsic evidence is excluded and the motion for summary judgment is dismissed. I shall proceed to determine the application on the admissible evidence.

[7] The plaintiff in the underlying action pleads, in para. 6 of the statement of claim, that "on or about the 13th day of February 2007, she was exiting Limeridge [the mall] and fell as a result of ice which had built up near the exit".

[8] The plaintiff, in para. 15 of the statement of claim, alleges six particulars of negligence against the snow removal service, essentially having to do with their failure to remove snow and [page800] ice adequately. In para. 14, she alleges ten particulars of negligence against the occupier of the mall, essentially having to do with their failure to ensure that the surface of the sidewalk was safe. I think it is reasonable to take all but one of them as references to the build up of ice. In para. 14 c., however, the plaintiff says that the occupier failed to take adequate measures to prevent or address the continued wear and tear of the pavement.

[9] The certificate of insurance refers to Oakridge, the snow removal service, as the "named insured". It adds the following:

NOTE: it is hereby understood and agreed that the Cadillac Fairview Corporation Limited [and certain other corporations] . . . are added as additional insureds, but only with respect

to liability arising out of the operations of the named insured.

[10] The respondent insurer argues that maintenance of the pavement has nothing to do with the operations of the named insured. The named insured was responsible only for snow and ice removal. Reference to the contract between Cadillac Fairview and Oakridge bears this out. It is argued, then, that the insurer has no duty to defend Cadillac Fairview from liability for its failure to maintain the pavement.

[11] Paragraph 14 c. of the statement of claim must be read in the context of the whole pleading. The key context, in my view, is constituted by para. 6, in which the plaintiff says that she slipped on ice that had built up, and para. 13, in which she says that she suffered injuries as a result of this fall. If, through negligence, ice was allowed to build up, that would [be] a contributing cause of the plaintiff's loss, whether the underlying pavement was properly maintained or not. I cannot think of a circumstance on this pleading in which Cadillac Fairview could reasonably be found liable for negligent maintenance of the pavement without the build up of ice as a contributing cause of the loss. The true nature of the claim is negligence in the removal of ice. I do not think that it is giving particularly wide latitude to the language of the claim so to find.

[12] Even if I thought otherwise, the rest of the pleadings raise the possibility that Cadillac Fairview could be found liable because of the operations of the snow removal service. That is enough to trigger the duty to defend.

[13] The application is allowed. I declare that the respondent Lombard Canada has a duty to defend the applicant in the action of Elizabeth Patrick and I order it to do so.

[14] The parties may make brief written submissions to costs. The applicant's are due on August 25 by 4:00 p.m., the respondent's by September 1.

Application granted in part.